

Keynes, and the like. Quantitative analysis was, by today's standards, conspicuous by its absence. My recollection is that calculus was not even a department prerequisite. ("Quants," of course—those quantitative strategists who have flooded the financial sector in recent decades and whose track record in the recent market downturn has been so erratic—had not yet entered the field.)

I don't know whether to credit or blame the original electronic calculator for inaugurating the sea change in the study of how economies and markets work. But with the coming of today's incredibly powerful personal computers and the onset of the Information Age, numeracy is in the saddle today and rides economics. Einstein's excellent advice seems to have been largely forgotten. If you can't count it, it seems, it doesn't matter.

I disagree with that syllogism. Indeed, I firmly believe that to presume that what cannot be measured is not very important is tantamount to blindness. But before I get to the pitfalls of measurement, to say nothing of trying to measure the immeasurable—things like trust, wisdom, character, ethical values, and the hearts and souls of the human beings who play the central role in all economic activity—I want to discuss the fallacies of some of the popular measurements of the day and the pitfalls created for investors and contemporary society by government, finance, and business.

Today, in our society, in economics, and in finance, we place far too much trust in numbers. *Numbers are not reality*. At best, they are a pale reflection of reality. At worst, they're a gross distortion of the truths we seek to measure. But the damage doesn't stop there. Not only do we rely too heavily on historic economic and market data; our optimistic bias also leads us to misinterpret the data and give them credence that they rarely merit. By worshipping at the altar of numbers and by discounting the immeasurable, we have in effect created a numeric economy that can easily undermine the real one.

Government: Making the Numbers Fit